

Stock Market Compass Business Plan

1. Service Description

Stock Market Compass is an AI-based investment decision-support platform aiming to expand into global financial markets, starting with the US market. It converts complex market data into **"Up/Neutral/Down" probabilities** and **"Buy/Hold/Sell" timings** so that even novice investors can understand it intuitively. Ultimately, we aim to create a virtuous cycle of "nurturing successful individual investors (tangible value)" through data-driven, precise advice (intangible value)

Currently, it consists of a **Frontman** who communicates with customers as a managing leader, an **Analyst** who performs practical calculations and analysis based on machine learning, and a **Reader** who machine-learns word sentiments in economic news:

- **Frontman:** Service oversight and coordination, integration of multi-agent outputs, and user interface (UI/UX) handling.
- **Analyst:** Learns price history solely from numbers, provides risks and indicators, including probabilities.
- **Reader:** Sentiment analysis by looking only at news judges market favourable/unfavourable factors, and derives qualitative insights.

1) Problem to Solve

- **Information overload and reduced reliability:** Investor confusion due to unstructured and unofficial information such as indicators, news, and private leading rooms.
- **Poor strategy design by novice investors:** Need for intuitive suggestions to help individuals set investment strategies tailored to their goals.
- **Information asymmetry:** Vicious cycle of asset loss due to reliance on fragmented news, baseless chase buying, and panic selling.

2) Service Provision Form

- Provides difficult and fragmented indicators and information tailored for novice investors.
- Easy access via web/app, B2B and B2C response via API/widgets.
- Helps users build their own investment strategies with daily/weekly/monthly summary reports.

3) Differentiation

- Supports decision-making with probabilities and evidence rather than simple predictions.
- Provides analysis, including profit realisation, stop-loss, and timing based on Triple Barrier labelling.
- Easy expansion through a modularised agent structure.

2. Market Analysis

- a) **Goal:** Expand from B2C to B2B, targeting novice individual investors, intermediate investors, and even corporations.
- b) **Competitors:** Companies offering similar services (e.g., TradingView), large securities firms (e.g., Charles Schwab, Morgan Stanley), and communities like YouTube/leading rooms.

c) Competitiveness :

The core competitiveness of this service, differentiating it from competitors, lies in a quantitative **"probability-based risk management paradigm"** rather than "prediction." While existing securities firms or TradingView cause information overload or provide fragmented charts, we present exact stop-loss/take-profit lines and holding periods as clear quantitative probabilities through the Triple Barrier algorithm. Furthermore, we maximise information reliability through a **"multi-agent architecture"** where an agent analysing time-series data and an agent analysing news sentiment operate independently. Lastly, by adopting a highly modularised structure, it offers strong **B2B scalability** that can be plugged into financial institutions via an API, along with rapid horizontal expansion into the global market.

SWOT analysis table

Strength	Quantitative decision-making support model based on Triple Barrier combining profit/loss/period, high prediction reliability of specialised multi-agent structure by data source, modular architecture facilitating B2B API integration and global market horizontal expansion.
Weakness	Limited initial learning and AI integration quality require time to secure trust in the backend model in the market.
Opportunities	Increasing demand from individual investors, building a partner ecosystem with investors, and supporting the educational investment market.
Threats	Integration capabilities and information power of large platforms, potential for tighter regulations, risk of trust damage or even legal disputes when backend model predictions result in customer losses.

3. Business Model and Marketing

1) Revenue Structure

- Tiered one-time reports containing items/details directly selected by the user.
- Usage-based pay-as-you-go (induces monthly/annual subscriptions).
- Tiered monthly/annual subscription models (Free, Basic, Premium) with discounts for annual billing.
- Revenue from personalised (indicator interpretation, risk management) educational content platform (lectures by verified investors, online live seminars, corporate financial statement interpretation, etc.).

2) Distribution Channels

- Web-based app, attracting users from Reddit/investment communities, and B2B partner affiliations.

3) Customer Acquisition Strategy

- **Initial:** Target novice individual investors, build model reliability in the market.
- Marketing:
 - a) Promotion utilising actual user cases, "taste test" through a 30-day free trial.
 - b) Influx utilises benefits such as providing 'n' free advice/reports upon sharing (Today's stock market compass, my investment results, etc.).
 - c) Encouraging investment participation through leaderboards and expanding into a platform by building a community.

4) Sustainability

We plan for continuous model verification, data pipeline automation, and stable local/cloud hybrid operations. Additionally, we can attract loyal customers by verifying value to users through gradual monetisation. We maintain the character of a partner as an educational tool to assist in the design of a customised strategy, rather than a professional investment advisory service.

4. Execution Plan

Currently, in the model algorithm and data pipeline design stage, we plan to verify and launch through the machine learning output orchestration stages.

- 1) **Launch - 6 months:** Focus on strengthening model performance and minimising risk, email/app push notifications.
 - **Milestone:** Reach 300 users on the trial waitlist.
- 2) **6 months - 1 year:** Aggressive marketing through verified models and tester cases 7
 - **Milestone:** Reach 100 monthly subscribers, re-subscription rate over 25%
- 3) **1-2 years:** Full-scale platformization to activate the community.
 - **Milestone:** Reach 300 monthly subscribers.
- 4) **2 years - 4 years:** Expand to B2B, affiliate with bloggers/YouTubers/corporations.

5. Financial Plan (NZD)

1) Initial Investment

- Development personnel (AI subscription, some outsourcing): **\$35 - \$150/month**
- Maintenance: Server/QA/Monitoring: **\$50 - \$120/month**
Data API: **\$0 - \$200/month** (automation, depending on usage)
- Marketing content and advertising: **\$300 - \$1500/month**
- Legal terms, advisory documents, etc.: **\$1000** (one-time)

2) Expected Revenue

B2C: Tiered flat rate such as \$20, \$35, \$79/month + One-time reports at \$19, \$39, etc.

B2B: Tiered flat rate, such as \$109, \$199/month + One-time reports at \$39, \$89, etc., and partnership revenue sharing.

Period	Goal	Estimated Revenue Basis	Estimated Monthly Revenue
Launch - 6 months	300 on trial waitlist	Promotion phase	None
6 months - 1 year	100 monthly subscribers	Assuming \$40/month avg B2C payment	\$4,000
1 year - 2 years	300 monthly subscribers	Assuming \$40/month avg B2C payment	\$12,000
2 years - 4 years	B2B expansion & partner affiliation	Avg B2C payment \$4,000 - \$6,000/month B2B affiliation \$3,000 - \$7,000/month	\$7,000 - \$13,000

3) Profit & Loss

This service operates on a low-cost structure that minimises initial infrastructure and API costs and is expected to reach break-even within 6 months to 1 year after launch. Based on a subscription fee of \$40 per month per person, securing just 20-25 B2C fixed subscribers can offset all initial monthly fixed costs.

After the first year, monthly subscribers are expected to surpass 100, entering a full-scale net profit phase. In the second year, we will establish a virtuous cycle by reaching 300 subscribers (monthly revenue of \$12,000) and reinvesting in marketing and advancement. During the B2B expansion phase from years 2 to 4, institutional and corporate partnership revenue (\$3,000 - \$7,000/month) will be added, forecasting a maximum operating profit margin of 60-70%, significantly exceeding fixed costs, thereby maximising the surplus.

6. Conclusion

Stock Market Compass is not just a simple prediction service, but is positioned as a compass-like tool that creates customised decision-making methods for novice investors. It provides stable services with an advanced modular system by focusing on probabilities and indicator information (**Analyst**), while supporting it through news interpretation (**Reader**), and delivering the synthesised information in an easy-to-read format (**Frontman**). In the future, it will expand into a B2B platform and an investment community to secure a sustainable subscription/one-off revenue structure.